

Warsaw, October 19, 2023

Decision

DOKE.561.15.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws 2023, item 775, consolidated text) in connection with Article 7(1) and (2) and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws 2019, item 1781) and based on Article 57(1)(a) and (h), Article 58(2)(b) in connection with Article 31 and Article 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of May 4, 2016, p. 1, with amendments published in the Official Journal of the EU L 127 of May 23, 2018, p. 2, and in the Official Journal of the EU L 74 of March 4, 2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on M. partnership based in Z. (...), the President of the Personal Data Protection Office issues a reprimand to M. partnership based in Z. (...) for violating the provisions of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to fulfill his tasks in the proceedings with reference number DS.523.4539.2022.

JUSTIFICATION

Factual Background

A complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") by Ms. K. L., conducting business under the name C. based in M., at ul. (...) (represented by attorney M. U.) (hereinafter referred to as the "Complainant") regarding irregularities in the processing of her personal data by K. partnership based in W., consisting of the failure to comply with the Complainant's request for the deletion of her personal data. In connection with the above, in order to address the allegations raised by the Complainant, the President of UODO initiated explanatory proceedings with reference number DS.523.4539.2022. During the explanatory proceedings, the President of UODO established that the data controller of the Complainant's personal data in the scope covered by the complaint is M. partnership based in Z., hereinafter referred to as the "Company."

As part of the aforementioned proceedings – acting under Article 58(1)(a) and (e) of Regulation 2016/679 – the President of UODO, by letter dated January 10, 2023, requested the Company to respond to the content of the complaint and to provide explanations:

- 1) when (the exact date must be specified), on what legal basis (specific legal provisions must be listed), for what purpose and to what extent (specific scope of data must be listed) the Company obtained the Complainant's personal data,
- 2) whether, and if so, on what legal basis (specific legal provisions must be indicated), for what purpose, to what extent (specific scope of data must be listed), the Company processed or is currently processing the Complainant's personal data. Note: If the personal data is processed based on Article 6(1)(c) of the GDPR, the specific legal provision from which the obligation to process the data arises must be indicated,
- 3) whether, and if so, when, on what legal basis (specific legal provisions must be indicated), for what purpose and to what extent (specific scope of data must be listed) the Company disclosed the Complainant's personal data to K.,
- 4) whether the Complainant requested the Company to delete her personal data, and if so, what was the Company's response (I request the submission of all correspondence with the Complainant in this regard).

This request, sent to the address of the Company's registered office disclosed in the National Court Register, i.e., Z. (...), was received by the "proxy of the addressee" (according to the information on the return receipt) Mr. K. S. on January 16, 2023. Despite receiving the correspondence, the Company did

not respond in any way to the request of the data protection authority. In light of this, by letter dated March 31, 2023, the President of UODO again requested the Company to provide the explanations necessary to assess the validity of the complaint. The Company was also informed that failure to provide a comprehensive response to this request could result in the imposition of an administrative monetary penalty on the Company, in accordance with Article 83(5)(e) of Regulation 2016/679. Despite receiving the letter on April 4, 2023, the Company did not provide the requested explanations.

By letter dated May 25, 2023, the President of UODO again requested the Company to provide explanations. The Company was once again informed that failure to respond to the President of UODO's request could result in the application of sanctions specified in Article 83(5)(e) of Regulation 2016/679 against the Company. This request was duly delivered to the Company on May 30, 2023. Despite receiving the correspondence, the Company did not take any action to provide the requested explanations.

The above circumstances of the factual background were established by the President of UODO based on the entirety of the correspondence.

official, issued by the President of the UODO to the Company, which is part of the case files for case number DS.523.4539.2022. This correspondence reflects the entirety of the attempts made by the President of the UODO to gain access to personal data and information necessary for the execution of his tasks – namely, the consideration of the case with reference number DS.523.4539.2022. On the other hand, it serves as direct evidence of the Company's lack of cooperation with the President of the UODO in the performance of his duties.

****Proceedings****

Due to the Company's failure to provide the information necessary to resolve the case with reference number DS.523.4539.2022, the President of the UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DOKE.561.15.2023, concerning the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed of the initiation of the proceedings by a letter dated September 1, 2023 (reference: DOKE.561.15.2023), delivered to the Company on September 8, 2023. By this letter, the Company was obliged – in order to determine the basis for the penalty, based on Article 101a(1) of the Act of May 10, 2018 on the protection of personal data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the amount of turnover and the financial result achieved by the Company in 2022. The Company was also informed that the submission of comprehensive explanations, which the President of the UODO had previously requested from the Company in the proceedings with reference number DS.523.4539.2022, could mitigate the amount of the administrative monetary penalty imposed in this administrative proceeding or lead to the decision to refrain from imposing it.

In response to the information about the initiation of the proceedings concerning the imposition of an administrative monetary penalty – in a letter dated September 8, 2023 – the Company provided explanations regarding the matter. Regarding the complaint of Ms. K. L., the Company stated, "On August 2, 2021, the company M. Sp. j. accepted a transport order number (...) from the company L., owned by K. L. The order was obtained through the transport exchange T. and delivered via email by company L. After completing the service, company M. issued an invoice number (...). After the required period, company M. did not record any payment in its account. Consequently, the matter was referred to company K. for the recovery of the debt. After some time, Ms. K. L. contacted us. It turned out that the payment for the service rendered was sent from Ms. K. L.'s personal account. The accountant of company M., Mr. Z. L., did not record this payment in the system. Company K. was informed by company M. about the need to cease further debt collection. The telephone contact regarding this matter was handled by Mr. Z. L., who unfortunately passed away this year."

Regarding the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, the Company stated, "(...) after the first letter from you and the clarification of the entire situation with Ms. K. L., the complainant decided to withdraw the complaint against company M. Sp. j. We therefore assumed that

the matter was clarified and no further steps on our part were necessary."

On September 21, 2023, in the case with reference number DS.523.4539.2022, a letter from the Complainant represented by attorney M. U. was received, containing a statement of withdrawal of the complaint in its entirety along with a request for the discontinuation of the proceedings.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of the UODO, among other things, examines complaints lodged by the data subject or by an entity, organization, or association in accordance with Article 80, conducts proceedings regarding these complaints to an appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks thus defined, the President of the UODO is entitled to a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the proceedings conducted, including the power to order the controller and the processor to provide all information necessary for the realization of its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and all information necessary for the realization of its tasks (Article 58(1)(e) of Regulation 2016/679).

Violation of the provisions of Regulation 2016/679, resulting in the infringement of the powers of the authority specified in Article 58(1), is subject to – in accordance with Article 83(5)(e) of Regulation 2016/679 – an administrative monetary penalty of up to EUR 20,000,000, or in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Additionally, both the controller and the processor are obliged, at the request of the authority... supervisory cooperation with him in the performance of his tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying, in accordance with Article 83(4)(a) of Regulation 2016/679.

The President of the UODO is also entitled to a number of specific remedial powers set out in Article 58(2) of Regulation 2016/679, including the right to issue a reprimand to the data controller or processor in the event of a breach of the provisions of Regulation 2016/679 through processing operations. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation 2016/679 to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was intentional, the actions taken by the controller to minimize damage, the degree of responsibility or any relevant previous violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the u.o.d.o. states that in matters not regulated by this Act, the provisions of the Act of

June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2023, item 775, as amended, hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are single-instance proceedings.

Legal Assessment

Relating the above-mentioned legal basis to the established factual state in this case, it should be acknowledged that the Company – being the data controller – through its failure to respond to the President of the UODO's requests for clarification in the case with reference number DS.523.4539.2022, violated the obligation to cooperate with the President of the UODO in the performance of his tasks and to provide the President of the UODO with access to personal data and information necessary for the realization of his tasks, which obligations arise directly from Articles 31 and 58(1)(a) and (e) of Regulation 2016/679.

The President of the UODO called upon the Company three times to provide explanations in the case with reference number DS.523.4539.2022. The requests dated January 10, 2023, March 31, 2023, and May 25, 2023, were effectively delivered and received on January 16, 2023, April 4, 2023, and May 30, 2023, respectively – which justifies the belief that the Company had the opportunity to familiarize itself with the content of the correspondence directed to it and to respond within the time frame set by the data protection authority. The Company's lack of response to the correspondence in question, which is undisputed in light of the evidence gathered in this case, resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative fine on the Company, as a result of which the Company only then began to cooperate with the President of the UODO and submitted explanations in the case with reference number DS.523.4539.2022.

In the opinion of the President of the UODO, the justification provided by the Company in its letter dated September 8, 2023, for the lack of response to the requests (see point 8 of the justification of this decision) does not constitute a ground for excluding the Company's liability. The Company's findings in direct contacts with the Complainant did not exempt the Company from fulfilling the obligations imposed by the provisions of Regulation 2016/679. The Company was obliged to respond to the requests of the data protection authority. The delivery of the correspondence addressed to the Company in the proceedings with reference number DS.523.4539.2022 initiated the deadlines for the actions that the Company was called upon to undertake by the President of the UODO – in this case, to provide explanations necessary for the supervisory authority to perform its tasks. The lack of any activity on the part of the Company in this regard undoubtedly burdens the Company.

Despite the obvious negligence on the part of the Company, the President of the UODO took the position that the established violation, consisting of the lack of cooperation with the President of the UODO in the performance of his tasks and the failure to provide the President of the UODO with access to personal data and information necessary for the realization of his tasks – although highly reprehensible – was rectified by the Company immediately after becoming aware of this administrative fine imposition proceeding, i.e., upon the submission of the Company's explanations to the UODO on September 11, 2023. By providing explanations, the Company demonstrated an active attitude and willingness to further cooperate with the supervisory authority, both in this proceeding and in any future proceedings initiated by the President of the UODO in which the Company would be a party. This leads to the conclusion that the Company's lack of response to the President of the UODO's requests was purely incidental.

In light of the above, the President of the UODO deemed it justified to issue a reprimand to the Company in the scope of established violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, while also assuming that, in light of the criteria specified in Article 83(2) of Regulation 2016/679, it will be effective and sufficient. However, it should be noted that in the event of a similar occurrence in the future, any admonition issued by the President of the UODO against the Company will be taken into account when

assessing the conditions justifying the imposition of an administrative penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679 and will be considered to its detriment. In this factual and legal situation, the President of the UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

Print article

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Department of Penalties and Enforcement

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Jan Nowak

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Mathias Proch

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Edyta Madziar

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